

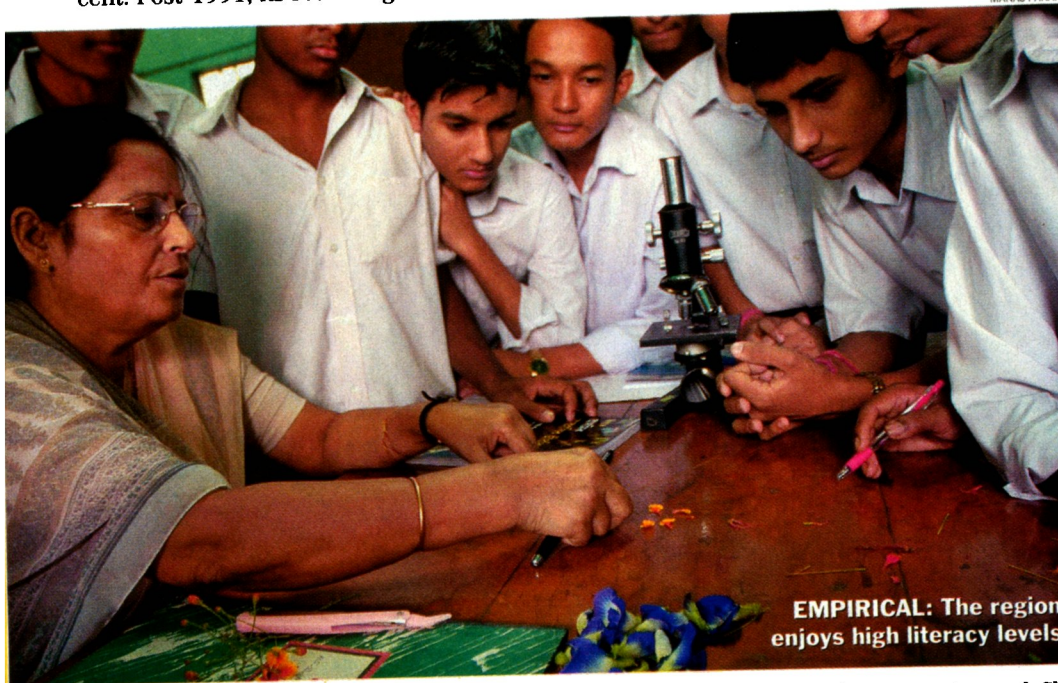
national average. Manipur, described by Lord Irwin as the "Switzerland of India", has a population of 2.2 million and a literacy rate of 75 per cent. Post-1991, real GDP declined by 2.4 per cent in 1994-95, but also increased by 12.0 per cent in 1999-2000. Meghalaya has a population of 2.3 million and a literacy of 77 per cent. Meghalaya's post-1991 real GDP growth has been above the north-eastern par and has ranged between 3.6 per cent in 1994-95 and 10.5 per cent in 1995-96.

Mizoram has a population of 0.9 million and the literacy rate of 89 per cent is the second highest in the country. The lost tribes of Israel may have found a home in Mizoram but data on the state's GDP growth is not available. Nagaland has a population of 1.99 million and a literacy rate of 78 per cent. Post-1991, its real GDP growth has ranged between a

notices high real growth in many parts of the North-East. The region stands apart due to high literacy. This may be called the "missionary effect" but there is more to it. States like Tripura, with relatively low missionary activity, are a case in point. A few of the north-eastern states also have high affluence levels. This could be due to many reasons. Being special category states helps—significant fund flows from the Central government have been seen since the '90s. Perversely, the large presence of defence establishments in the North-East also helps their economic well-being. The road infrastructure built expressly for defence requirements benefits the economy of the north-eastern states.

The border states also reportedly have a large black economy due to illegal cross-border trade, which in turn contributes to affluence levels. Such trade is more likely to

benefit Nagaland and Mizoram than Tripura. Though the extent of such illegal trade is not known, with expected tariff reductions and free trade agreements with South-



21%
reduction in poverty levels in Assam is something spectacular

■ Head count poverty ratios throughout the region are below 20 per cent

■ Post-1991 most of these states have shown high real growth

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decline of 4 per cent in 1998-99 and an increase of 36.1 per cent in 2000-01. Sikkim has a population of 5,41,000 (the smallest in India) and a literacy rate of 75 per cent. Real GDP growth has averaged between 1.5 per cent in 1994-95 and 9.8 per cent in 2002-03. Its growth rate trend has been among the better ones not only in the North-East, but also on an all-India level. Finally, Tripura has a population of 3.2 million and a literacy rate of 74 per cent. Real GDP growth has ranged between a decline of 0.4 per cent in 1994-95 and an increase of 18.3 per cent in 2000-01. Its growth trend has been above average.

There are clear outliers—Assam in population, Arunachal Pradesh in physical infrastructure and low literacy and Mizoram in high literacy. Per capita income is low in Assam and Manipur, but high everywhere else, with fairly high figures in Mizoram and Nagaland. Post-1991, one

East Asian countries and China, this trade is likely to fall. Overall, however, the combination of high human capital and extensive fund flow from the Centre has made these states significantly better off than an average Indian state.

Assam is the real problem. However, unlike rest of India since the early '80s, high growth is often associated with high volatility, characteristic of the dependence on agriculture. Head count poverty ratios are below 20 per cent throughout the region, with a remarkable 9.5 per cent in Mizoram. On most socio-economic indicators, the North-East scores far better than the Hindi heartland. And this is equally true of inequality measures. Not only are inequality levels in the North-East lower than anywhere else in India, for many states in the region, the general trend of increasing inequality also does not hold. This may have a lot to do with self-employment characteristics of working population there.

The North-East already has a strong base of social infrastructure. All it requires to get going is better physical infrastructure within India and in cooperation with neighbouring countries. That's also the best antidote to violent movements that characterise much of the region.